

CHAPTER – 10

QUASI CONTRACT

Chapter V of the Indian Contract Act provides for the "quasi contracts" however the said term is not used in the Indian Contract Act, 1872.

MEANING

Quasi Contract means a contract which lacks one or more of the essentials of a contract. Quasi Contract do not arise out of an agreement (the legal obligations are imposed by law without offer and acceptance).

Quasi contract are declared by law as valid contracts on the basis of principles of equity i.e., no person shall be allowed to enrich himself at the expense of another.

TYPES OF QUASI CONTRACT

Sec. 68	Sec. 69	Sec. 70	Sec. 71	Sec. 72
Supply of Necessaries	Reimbursement of money due	Obligation to pay for benefit out of non	Responsibility of Finder of Goods	Person receiving goods are money

1. Claim for necessities supplied to person incapable of contracting, or on his account.

If a person, incapable of entering into a contract (e.g., Minor or Lunatic), or any one whom he is legally bound to support, is supplied by another person with necessities suited to his condition in life, the person who has furnished such supplies is entitled to be reimbursed from the property of such incapable person

Illustration: Mr. A supplies Mr. B, a lunatic, with necessities suitable to his condition in life. A is entitled to be reimbursed from B's property.

Mr. A supplies the wife and children of Mr. B, a lunatic, with necessities suitable to their condition in life. Mr. A is entitled to be reimbursed from Mr. B's property.

2. Payment by an Interested Person

A person who is interested in the payment of money, which another is bound by law to pay, and

Illustration: Mr. X delivers certain goods in the house of Mr. Y. The goods were left by mistake. Mr. Y is bound to restore them.

ESSENTIALS TO BE PROVED IN AN UNJUST ENRICHMENT

- 1) The defendant has been 'enriched' by the receipt of a "benefit".
- 2) That this enrichment is at the expense of the plaintiff's action.
- 3) That the retention of the enrichment is unjust'

who therefore, pays it, is entitled to be reimbursed by the other.

Illustration: Mr. B holds land in Bengal, on a lease granted by Mr. A, the zamindar. The revenue payable by Mr. A to the Government being in arrears, his land is advertised for sale by Government. Under the revenue law, the consequences of such sale will be the annulment of Mr. B's lease. Mr. B, to prevent sale and the consequent annulment of his own lease, pays to the Government the sum due from Mr. A. Mr. A is bound to make good to Mr. B the amount so paid.

3. Liability to Pay for Non-Gratuitous Act Three conditions must be satisfied:

- (1) a person should lawfully do something for another person or deliver something to him;
- (2) in doing the said thing or delivering the said thing he must not intend to act gratuitously; and

(3) the other person for whom something is done or to whom something is delivered must enjoy the benefit thereof.

Illustration: X, a tradesman, leaves goods at Y's house by mistake. Y treats goods as his own. He is bound to pay X for them.

A save B's property from fire. A is not entitled to compensation from B if the circumstances show that he intended to act gratuitously.

Where a coolie takes the luggage at the railway station without being asked by the passenger or a shoe-shiner starts shining shoes of the passenger without being asked to do so, and if the passenger does not object to that, then he is bound to pay reasonably for the same as the work was not intended to be gratuitous.

4. **Finder of Goods**

A person, who finds goods belonging to another and takes them into his custody, is subject to the same responsibility as a bailee.

A bailee is bound to take as much care of the goods as a man of ordinary prudence would, under similar circumstances, take of his own goods. To avoid liability for criminal misappropriation of property, the finder must try to find out the real owner of the goods and must not appropriate the property to his own use.

5. **Mistake or Coercion**

A person to whom money has been paid, or anything delivered, by mistake or under coercion [under pressure], must repay or return it.

Illustration: A and B jointly owe 100 rupees to C, A alone pays the amount to C, and B, not knowing this fact, pays 100 rupees over again to C. C is bound to repay the amount to B.

A railway company refuses to deliver up certain goods to the consignee, except upon the payment of an illegal charge for carriage. The consignee pays the sum charged in order to obtain the goods. He is entitled to recover so much of the charge as was illegally excessive